DALLAS–FORT WORTH — SINGLE-FAMILY RENTAL · UNDERWRITING CASE STUDY

DFW Rental Underwriting Model & 10-Year Pro Forma

A ZIP-code screen of the DFW rental market and a full underwrite of the best pick, built in Excel and Power Query from Zillow ZHVI & ZORI data (June 2026).

VERDICT: PASS AT 7%

ZIP 76110 FORT WORTH AT A GLANCE

$217,756	$1,744	4.3%	1.1%
Purchase price (ZHVI)	Rent per month (ZORI)	Entry cap rate	Levered IRR, 10 years

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swipe →

Four numbers that tell the story

1.1%

Levered IRR over 10 years

Below the 5.0% all-cash return: borrowing at 7% against a 4.3% asset lowers the return.

0.71

Debt-service coverage, Year 1

Rises only to 0.93 by Year 10. NOI never covers the mortgage; lenders want 1.20+.

~$2,144

Breakeven rent per month

Year-1 cash flow reaches zero only at a rent 23% above today's $1,744.

−$3,718

Year-1 cash flow

Negative in all ten years (still −$877 in Year 10); the return depends on the sale.

Bottom line. 76110 is the strongest risk-adjusted pick of 166 ranked DFW ZIPs, and it still doesn't work at a 7% mortgage. It clears an 8% levered hurdle only if the price falls ~15% (to ~$185K), or ~10% (to ~$196K) with a 5–6% mortgage.

The top of the list was a yield trap

Power Query loads Zillow's ZIP-level home values and rents for the DFW metro. Each ZIP is scored 70% on gross yield and 30% on 3-year rent growth.

ZIPs with home values	ZIPs with rents	With both	Full 3-yr history, ranked
254	220	216	166

#	ZIP	CITY	PRICE	RENT/MO	YIELD	3-YR CAGR	CALL
1	75216	Dallas	$177,032	$1,823	12.4%	4.5%	YIELD TRAP
2	75215	Dallas	$177,515	$1,621	11.0%	3.4%	YIELD TRAP
3	75134	Lancaster	$262,549	$2,251	10.3%	5.2%	YIELD TRAP
4	**76110**	**Fort Worth**	**$217,756**	**$1,744**	**9.6%**	**6.2%**	SELECTED
5	75217	Dallas	$201,984	$1,769	10.5%	2.9%	
6	75241	Dallas	$215,576	$1,710	9.5%	1.8%	

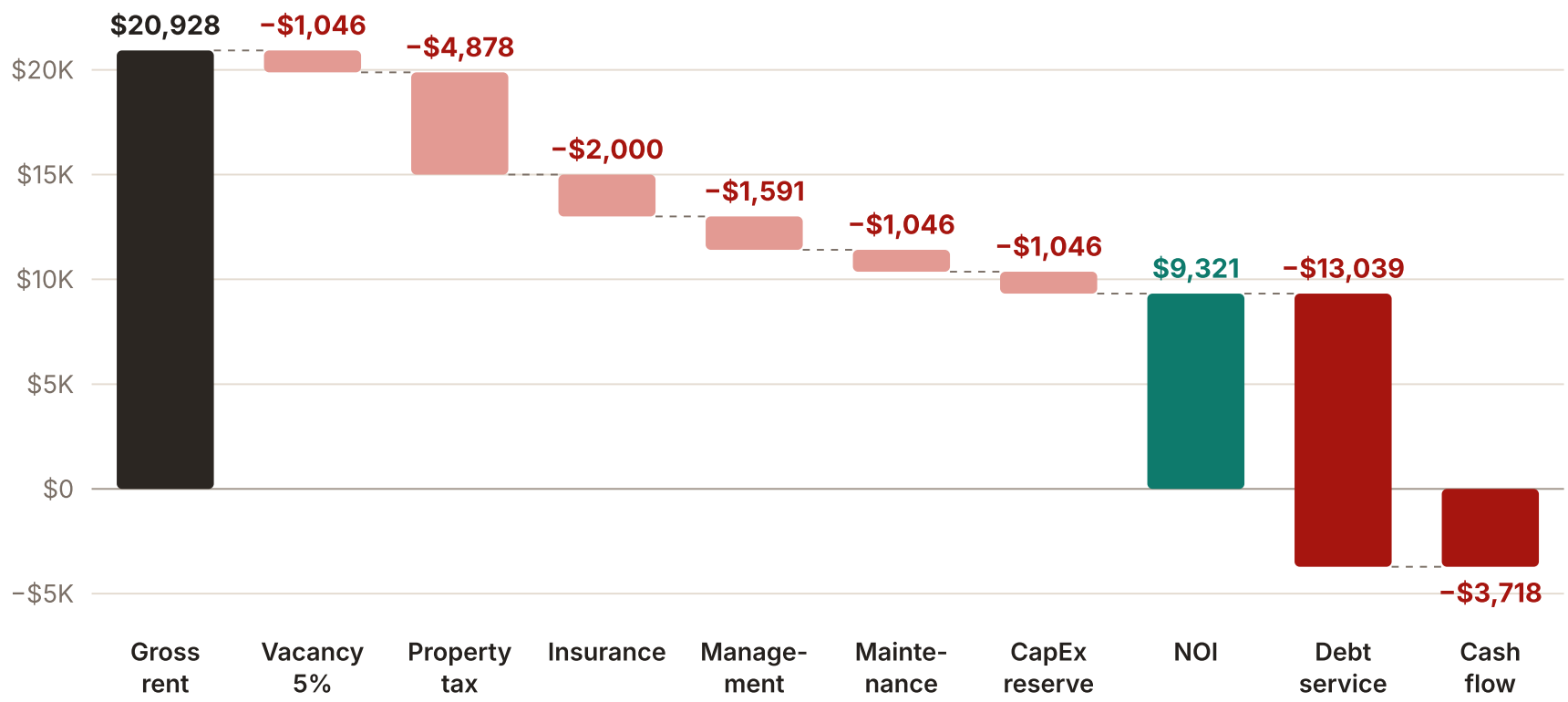
Ranks #1–#3 are low-cost South Dallas and Lancaster ZIPs posting 10–12% "yields," the classic profile of distressed-area risk the data can't see (condition, taxes, tenant and vacancy risk). **I stepped past them and selected 76110:** a solid 9.6% yield with the shortlist's strongest rent growth, in a conventional submarket.

The rent covers the expenses, not the mortgage

Gross rent of $20,928 becomes $9,321 of NOI; property tax alone takes $4,878 (~52% of NOI).

Year-1 rent waterfall

$ per year · $1,744/mo rent



Net operating income
$9,321 4.3% cap

Annual debt service
$13,039 7.0% · 30-yr

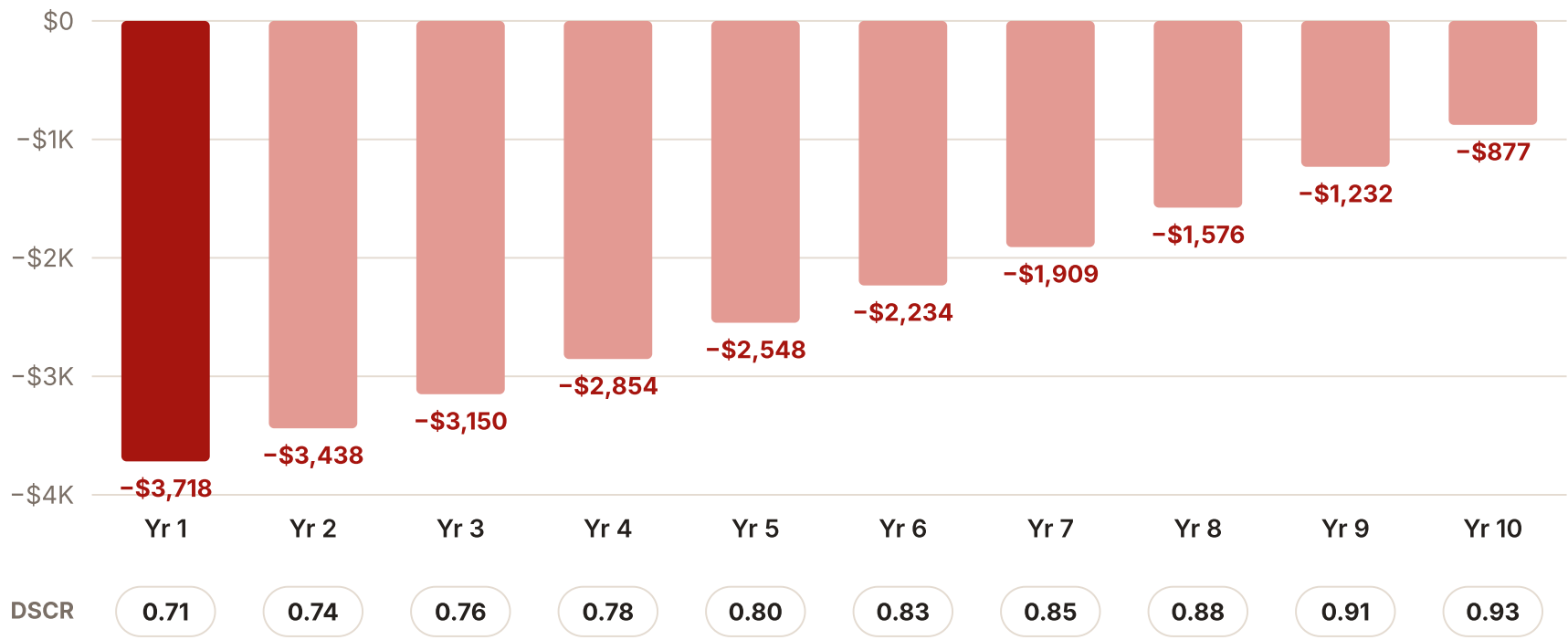
Breakeven rent
~$2,144 /mo
+23% vs $1,744 actual

Negative carry in all ten years

Rent grows 3% a year and the gap narrows, but cash flow never turns positive and DSCR never reaches 1.0.

Levered cash flow before tax, by year

$ · excludes Year-10 sale



Net sale proceeds, Year 10

$92,838

$250,520 sale at a 5.0% exit cap, less 7% selling costs and the $140,146 loan payoff.

Equity multiple

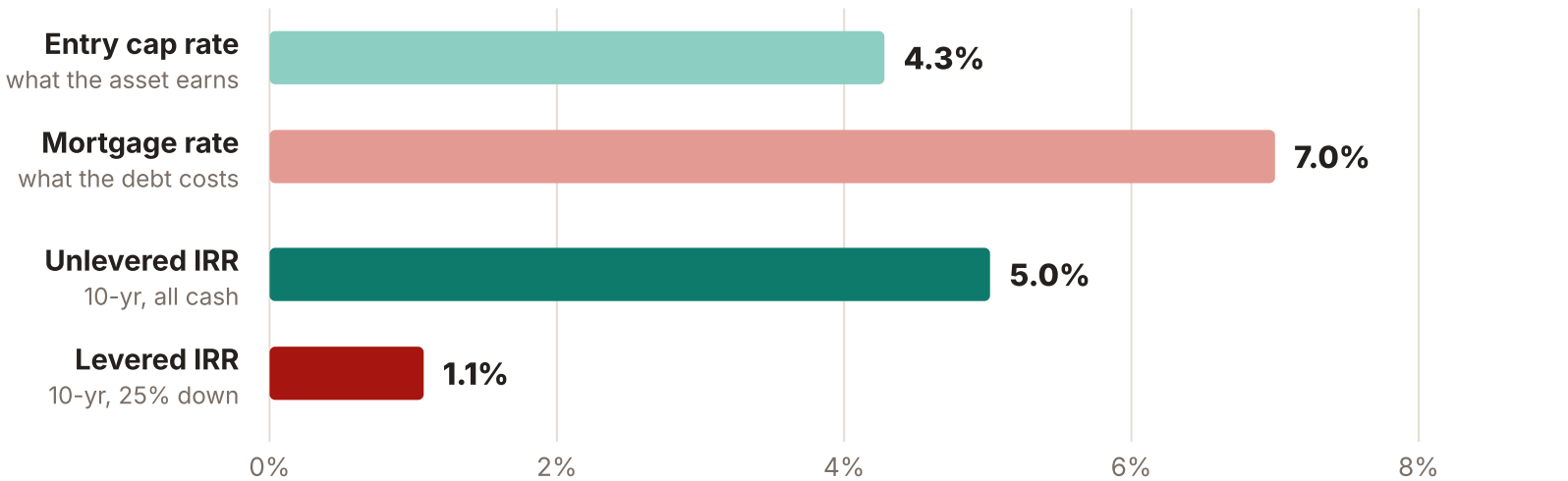
1.10x

Counts the annual shortfalls as equity, on top of $60,972 down payment and closing costs.

Debt turns a 5.0% asset into a 1.1% equity return

Borrowing raises returns only when the asset earns more than the debt costs. Here it earns 4.3% and the mortgage costs 7%.

What the asset earns vs. what the debt costs



Cash-on-cash, Year 1

−6.1%

On $60,972 of equity invested at purchase.

Exit cap = entry cap (4.3% vs 5.0%)

~5.1%

Levered IRR with a less conservative exit: better, but still short of an 8% hurdle.

What would have to be true

Against an 8% levered hurdle (my target for a leveraged single-family rental), the deal works only at a 10–15% lower price.

Levered IRR: purchase price × mortgage rate

10-year hold · live Excel Data Table

PRICE ↓ · RATE →	5%	6%	7%	8%	9%
$185,093	13.3%	11.7%	10.0%	8.4%	6.7%
$195,980	10.6%	8.9%	7.2%	5.4%	3.6%
$206,868	7.9%	6.1%	4.2%	2.3%	0.3%
$217,756	5.1%	3.1%	1.1%	−1.1%	−3.3%
$228,644	2.2%	0.0%	−2.3%	−4.7%	−7.3%
$239,532	−0.9%	−3.5%	−6.1%	−9.0%	−12.0%

Base case · Clears 8% hurdle · Positive, below hurdle · Negative

Clears 8% at a 7% mortgage

~$185K −15% on price

Clears 8% at a 5–6% mortgage

~$196K −10% on price

Every input has a source

Base case. Teal = from Zillow data; green = checked against a public source; red = placeholder; tan = my assumption.

ZILLOW

$217,756

Purchase price

76110 home value (ZHVI), June 2026

ZILLOW

$1,744/mo

Rent

76110 rent index (ZORI); all rental types

CHECKED

2.24%

Property tax

Non-homestead; TAD 2024 rates sum to ~2.22%

PLACEHOLDER

$2,000/yr

Insurance

Below Fort Worth averages (~$5,500); +$1,000 cuts IRR ~5 pts

MY ASSUMPTION

25% · 7.0%

Down payment · mortgage

30-year fixed; 3% closing costs

MY ASSUMPTION

3% · 3%

Rent · expense growth

Forward rate, not the recent 6.2% rent CAGR

MY ASSUMPTION

5% · 8%

Vacancy · management

Management charged on effective gross income

MY ASSUMPTION

5% · 5%

Maintenance · CapEx

Reserves as a share of gross rent

MY ASSUMPTION

5.0% · 7%

Exit cap · selling costs

70bp above the 4.3% entry cap (conservative)

Simplifications. Before-tax cash flows; no depreciation or income-tax effects; no homestead exemption; rents and values come from Zillow ZIP-level indices, not a specific property.

Sources: Zillow Research ZHVI & ZORI, ZIP level, June 2026; Tarrant Appraisal District 2024 tax rates; Insurify, Fort Worth homeowners insurance. Educational portfolio project, not investment advice.

76110 — TAKEAWAYS

Verdict: pass at 7%

A disciplined, evidence-backed no.

76110 is the strongest conventional value the screen surfaced in DFW, and at today's price and rate it returns roughly 1% a year, below risk-free Treasuries, for leverage, tenant risk, illiquidity and a decade of out-of-pocket carry. Revisit at ~$185K with a 7% mortgage, or ~$196K if rates ease to 5–6%.

What this project shows

1. An end-to-end build: raw Zillow data → Power Query ETL → ZIP screen → underwriting model → stress tests → a written call, in one workbook.
2. Return math done by hand: cap rate, NOI, DSCR, cash-on-cash, levered and unlevered IRR, and equity multiple over a 10-year hold.
3. Judgment over mechanics: spotting a yield trap and using a 3% forward rent growth instead of the recent 6.2% spike.
4. An honest answer: a clear "pass," with the exact price and rate at which the deal would work.

Skills demonstrated

Real-Estate Underwriting · Pro Forma Modeling · IRR & DSCR · Sensitivity Analysis · Power Query (M) · Excel Data Tables · Goal Seek · Market Screening

Built from Zillow ZHVI & ZORI (June 2026) · model and files on GitHub: ajaaypatil0108/dfw-rental-underwriting

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